

Unit - 2

Information needs for strategic planning

Introduction:

Information Strategic Planning:

- Information Strategic Planning (ISP) is the basis for making information technology (IT) and development decisions. This seminar presents a systematic approach to achieving this. Attendees will learn how to derive their information strategy and plans from their business strategy.
- ISP is also the cornerstone for meeting information needs and providing a shared data environment. Attendees will learn how to plan for this. Attendees will also learn how to develop a common Information Architecture that can be used to jump start development projects.
- The ISP project plan identifies a schedule of projects, defined to support all levels of needs: operational or production, functional management reporting, information warehousing and decision support systems.
- This seminar uses proven techniques to perform an ISP project and to measure the success of its end results. ISP is broken into a set of major tasks; within each task, a set of steps is performed to achieve the desired deliverable. Each of the steps has a simple and easy to understand example. A case study is used to provide practical experience.

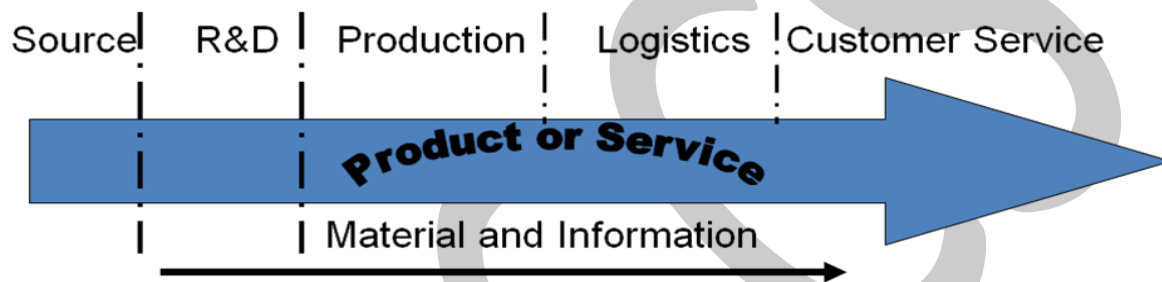
Objectives

- Attendees will learn the major end results of an ISP
- The Information Strategic Plan
- Identifying business needs
- Relating functions to data
- The Information Architecture
- Current Systems Assessment
- Technology Assessment
- Migration Plan
- Organizational Assessment
- Business Systems Architecture
- Business Process Re-Engineering

1. Concept of Value Streams:

A Value Stream is.....

- All the activities involved in creating value for the customer
- The process starts with raw material or information and ends with the end customer.
- The process involves functions both internal and external to the firm.



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- A value stream is an end-to-end collection of activities that creates a result for a "customer," who may be
 - The ultimate customer or an internal "end user" of the value stream. The value stream has a clear goal: to Satisfy (or, better, to delight) the customer.
 - The term value stream refers to an end-to-end set of activities. Order fulfillment, for example, is a value stream: the input is the order, and the results are the delivery of ordered goods. Order entry is one activity in the collection of activities that constitute the order fulfillment value stream.
 - A value stream is a collection of activities that function together. The value stream customer has certain desires, and the value stream consists of work activities dedicated to serving that customer. Value streams and their customers cannot be separated: The focus on customer gives the value stream its purpose.
 - Value Stream: An end-to-end collection of activities that create a result for a customer, who may be the ultimate customer or who may be an internal "end user" of the value stream. The value stream has a clear goal: to satisfy or to delight the customer.
 - Value streams differ from functions in that a value stream is a cycle of activity that begins with a specified event and ends when a specified output is produced.
 - The customer is sometimes the ultimate customer of the enterprise; sometimes the "customer" exists within the enterprise.
 - A value stream is an end-to-end set of activities that is collectively valuable to a customer.
 - The customer may be the ultimate, external customer or an internal user of the value stream.
- An enterprise is a collection of value streams.
 - In most enterprises all of the value streams need reinventing.
 - Value stream reinvention usually involves total redesign of a system.

- A value stream is all the actions required to bring a product through the main flows essential to nearly every product. A value stream map (AKA end-to-end system map) takes into account not only the activity of the product, but also the management and information systems that support the basic process as well.
- Value Stream solutions should focus on three areas:

1. People –

Focus on developing this human capital to create a foundational culture of trust, Teamwork, and collaboration, and to counter the unintended consequences of change. Human Capital programs develop effective people skills (interpersonal communication, teamwork, and Empowerment, etc). This area must be addressed throughout change efforts since it has such An impact on shifting attitudes that sustain new behaviors.

2. Process –

Everything that happens within an organization comes from a process, whether formal or informal. The only way to be successful in the long run is to create new processes that allow people to be more flexible, make change, and adapt to the new way quickly, even if that way will be changed again soon. Value Stream solutions should provide training and development opportunities for clients in core-activity skills, leadership, management and supervisory skills, as BP Trends ▪ April 2009 Value Chains, Value Streams, Value Nets & Value Delivery Chains well as Problem Solving and other decision making tools that allow clients to effectively work together and fulfill their company's mission.

3. Product –

The product or service provided by companies is what they do to make money or serve the social sector. The marriage between the company and its products and services sometimes gets in the way of creating profitable, responsive, and customer driven enterprises, especially when the company is young and may have been founded on a single product or service. Value Stream mapping can help identify problems and opportunities in the client's product or service offerings. Alignment of People, Process, and Products are essential for long-term success. Value Stream solutions should suit needs for improving quality, increasing productivity, growing profit, and eliminating waste. This focus creates capabilities to better compete in the current world economy.

Value Stream Definition Perspectives

1. R&D

Organizations engaged in investigation, experimentation, and prototype development of new technologies and related applications. Examples: advanced materials research on new temperature properties for polymers; energy research on improving generation efficiency.

2. Source

Organizations engaged in extracting, refining, or otherwise providing production input materials. Examples: a chemicals provider; an ore mining operation.

3. Process

Organizations engaged in producing goods or materials to be used in the manufacture of final goods; component products. Examples: a manufacturer of cold temperature, break and crack resistant moldable plastics; a manufacturer of turbine blades.

4. Distribution

Organizations engaged in the distribution of component goods and materials or final goods. Examples: a plastics distributor or distributor of lightweight expedition gear; a turbine blade distributor or an electricity Distribution company.

5. Application

Organizations engaged in the production of final goods that are ready for end customer use; stand-alone products. Examples: a manufacturer of arctic expedition emergency radios; an electricity generator.

2. Strategy:

- The word “strategy” is derived from the Greek word “stratēgos”; stratus (meaning army) and “ago” (meaning leading/moving).
- Strategy is an action that managers take to attain one or more of the organization’s goals. Strategy can also be defined as “A general direction set for the company and its various components to achieve a desired state in the future. Strategy results from the detailed strategic planning process”.
- A strategy is all about integrating organizational activities and utilizing and allocating the scarce resources within the organizational environment so as to meet the present objectives. While planning a strategy it is essential to consider that decisions are not taken in a vacuum and that any act taken by a firm is likely to be met by a reaction from those affected, competitors, customers, employees or suppliers.
- Strategy can also be defined as knowledge of the goals, the uncertainty of events
- And the need to take into consideration the likely or actual behavior of others.
- Strategy is the blueprint of decisions in an organization that shows its objectives and goals, reduces the key policies, and plans for achieving these goals, and defines the business the company is to carry on, the type of economic and human organization it wants to be, and the contribution it plans to make to its shareholders, customers and society at large.
- A method or plan chosen to bring about a desired future, such as achievement of a goal or solution to a problem.
- The art and science of planning and marshalling resources for their most efficient and effective use. The term is derived from the Greek word for generalship or leading an army.
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Features of Strategy

1. Strategy is Significant because it is not possible to foresee the future. Without a perfect foresight, the firms must be ready to deal with the uncertain events which constitute the business environment.
2. Strategy deals with long term developments rather than routine operations, i.e. it deals with probability of innovations or new products, new methods of productions, or new markets to be developed in future.
3. Strategy is created to take into account the probable behavior of customers and competitors. Strategies dealing with employees will predict the employee behavior.

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Strategy is a well defined roadmap of an organization. It defines the overall mission, vision and direction of an organization. The objective of a strategy is to maximize an organization's strengths and to minimize the strengths of the competitors. Strategy, in short, bridges the gap between "where we are" and "where we want to be".

Characteristics of information – cost, accessibility, reliability, security

Introduction:

- Good information is that which is used and which creates value. Experience and research shows that good information has numerous qualities.
- Good information is relevant for its purpose, sufficiently accurate for its purpose, completes enough for the problem, reliable and targeted to the right person. It is also communicated in time for its purpose, contains the right level of detail and is communicated by an appropriate channel, i.e. one that is understandable to the user.
- Further details of these characteristics related to organizational information for decision-making follows.

1. Cost of Information/Cost:

- Information should be available within set cost levels that may vary dependent on situation.
- If costs are too high to obtain information an organization may decide to seek slightly less comprehensive information elsewhere.
- For example, an organization wants to commission a market survey on a new product.
- The survey could cost more than the forecast initial profit from the product. In that situation, the organization would probably decide that a less costly source of information should be used, even if it may give inferior information.

2. Accessibility:

- Information should be easy to obtain or access. Information kept in a book of some kind is only available and easy to access if you have the book to hand.
- A good example of availability is a telephone directory, as every home has one for its local area. It is probably the first place you look for a local number.
- But nobody keeps the whole country's telephone books so for numbers further afield you probably phone a directory enquiry number.
- For business premises, say for a hotel in London, you would probably use the Internet.
- Businesses used to keep customer details on a card-index system at the customer's branch.
- If the customer visited a different branch a telephone call would be needed to check details. Now, with centralized computer systems, businesses like banks and building societies can access any customer's data from any branch.

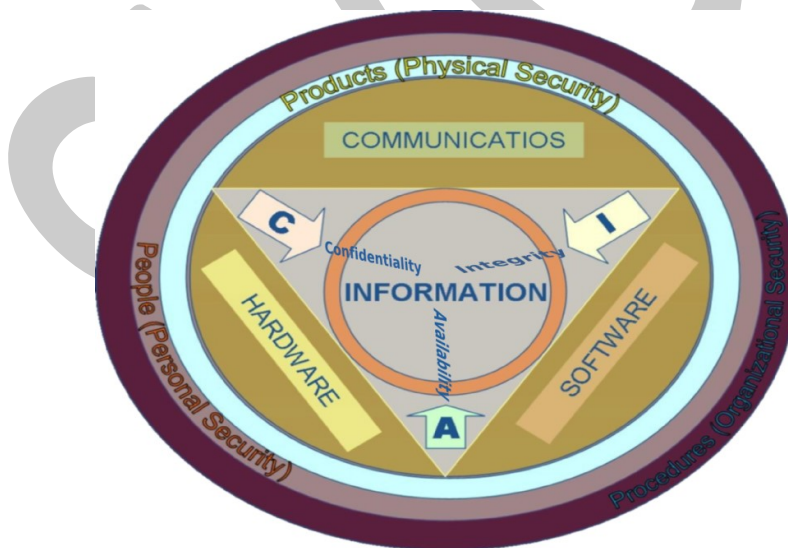
3. Reliability:

- Reliability deals with the truth of information or the objectivity with which it is presented. You can only really use information confidently if you are sure of its reliability and objectivity.
- When researching for an essay in any subject, we might make straight for the library to find a suitable book. We are reasonably confident that the information found in a book, especially one that the library has purchased, is reliable and (in the case of factual information) objective.
- The book has been written and the author's name is usually printed for all to see. The publisher should have employed an editor and an expert in the field to edit the book and question any factual doubts they may have.

- In short, much time and energy goes into publishing a book and for that reason we can be reasonably confident that the information is reliable and objective.
- Compare that to finding information on the Internet where anybody can write unedited and unverified material and 'publish' it on the web.
- Unless you know who the author is, or a reputable university or government agency backs up the research, then you cannot be sure that the information is reliable.
- Some Internet websites are like vanity publishing, where anyone can write a book and pay certain (vanity) publishers to publish it.

4. Security:

- protection of information and its critical characteristics achieved through appropriate deployment of products, people, procedures and policies
- IT evolves so rapidly that the best information security measure employed at one time may not remain the best for long. Continuity is not guaranteed for any hardware or software product that represents the best information security measure at the time of installation. We should understand that information security measures are not complete by simply drawing an information security policy based on these guidelines, but they need constant attention after they are drawn.
- The information security policy should also provide a system for constant information collection and security. The policy should be highly comprehensive including appropriate directions, not only about "how an information system should be protected", but also about "what actions should be taken when attacked."
- Also required is that the information security policy and the regulations of their implementation, are reviewed periodically. This is an important procedure to check for the presence of any new risk to the information assets owned by the government ministries and agencies and for changes to their environment, so that continued measures can be taken. In consideration of rapid advances of information security technologies and hackers' skills that are increasingly becoming more sophisticated, more frequent reviews are important.



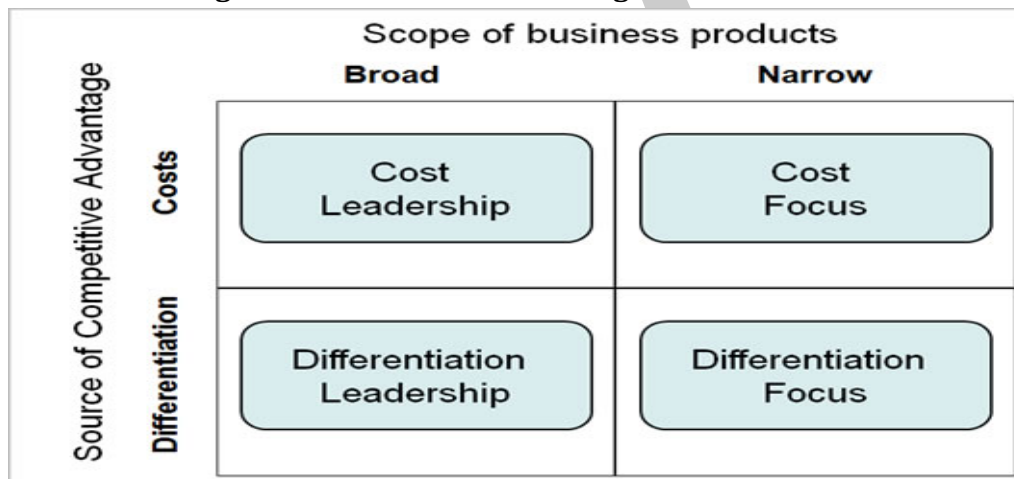
- 3 key characteristics of information that must be protected by information security:
- **confidentiality** - only authorized parties can view information
- **integrity** - information is correct and not altered
- **availability** - data is accessible to authorized users

Strategies for competitive advantages – differentiation, cost leadership, focus, linkage, information leadership

Introduction:

- Competitive advantage is defined as the strategic advantage one business entity has over its rival entities within its competitive industry. Achieving competitive advantage strengthens and positions a business better within the business environment.
- Competitive advantage is what enables a business organization to thrive. It is the objective of strategy. It is the combination of elements in the business model which enables a business to better satisfy the needs in its environment, earning economic rents in the process.
- The challenge for a marketing strategy is to find a way of achieving a **sustainable competitive advantage** over the other competing products and firms in a market.
- A **competitive advantage** is an advantage over competitors gained by offering consumers greater value, either by means of lower prices or by providing greater benefits and service that justifies higher prices.
- **Porter** suggested four "generic" business strategies that could be adopted in order to gain competitive advantage. The strategies relate to the extent to which the **scope** of a business' activities are narrow versus broad and the extent to which a business seeks to differentiate its products.

The four strategies are summarized in the figure below:



- The differentiation and cost leadership strategies seek competitive advantage in a broad range of market or industry segments.
- By contrast, the differentiation focus and cost focus strategies are adopted in a narrow market or industry.

1. Cost leadership

- With this strategy, the objective is to become the lowest-cost producer in the industry. The traditional method to achieve this objective is to produce on a large scale which enables the business to exploit economies of scale.
- Why is cost leadership potentially so important? Many (perhaps all) market segments in the industry are supplied with the emphasis placed on minimizing costs. If the achieved selling price can at least equal (or near) the average for the market, then the lowest-cost producer will (in theory) enjoy the best profits.
- This strategy is usually associated with large-scale businesses offering "standard" products with relatively little differentiation that are readily acceptable to the majority of customers. Occasionally, a low-cost leader will also discount its product to maximize sales, particularly if it has a significant cost advantage over the competition and, in doing so, it can further increase its market share.

- A strategy of cost leadership requires close cooperation between all the functional areas of a business. To be the lowest-cost producer, a firm is likely to achieve or use several of the following:
 - High levels of productivity
 - High capacity utilization
 - Use of bargaining power to negotiate the lowest prices for production inputs
 - Lean production methods (e.g. JIT)
 - Effective use of technology in the production process
 - Access to the most effective distribution channels

2. Cost focus

Here a business seeks a lower-cost advantage in just one or a small number of market segments. The product will be basic - perhaps a similar product to the higher-priced and featured market leader, but acceptable to sufficient consumers. Such products are often called "me-too's".

3. Differentiation focus

- In the differentiation focus strategy, a business aims to differentiate within just one or a small number of target market segments. The special customer needs of the segment mean that there are opportunities to provide products that are clearly different from competitors who may be targeting a broader group of customers.
- The important issue for any business adopting this strategy is to ensure that customers really do have different needs and wants - in other words that there is a valid basis for differentiation - and that existing competitor products are not meeting those needs and wants.
- Differentiation focus is the classic niche marketing strategy. Many small businesses are able to establish themselves in a niche market segment using this strategy, achieving higher prices than un-differentiated products through specialist expertise or other ways to add value for customers.
- There are many successful examples of differentiation focus. A good one is Tyrrell's Crisps which focused on the smaller hand-fried, premium segment of the crisps industry.
- Differentiation is the second of Porter's two types of competitive advantage. In the differentiation strategy, one or more characteristics that are widely value by buyers are selected. The purpose is to achieve and sustain performance that is superior to any competitor in satisfying those buyer needs.
- A differentiator selectively adds costs in areas that are important to the buyer. Thus, successful differentiation leads to premium prices, and these lead to above-average profitability if there is approximate cost parity. To achieve this, efficient forms of differentiation must be picked, and costs must be reduced in areas that are irrelevant to the buyer needs.

4. Differentiation leadership

- With differentiation leadership, the business targets much larger markets and aims to achieve competitive advantage across the whole of an industry.
- This strategy involves selecting one or more criteria used by buyers in a market - and then positioning the business uniquely to meet those criteria. This strategy is usually associated with charging a premium price for the product - often to reflect the higher production costs and extra value-added features provided for the consumer.
- Differentiation is about charging a premium price that more than covers the additional production costs, and about giving customers clear reasons to prefer the product over other, less differentiated products.
- There are several ways in which this can be achieved, though it is not easy and it requires substantial and sustained marketing investment. The methods include:

- Superior product quality (features, benefits, durability, reliability)
 - Branding (strong customer recognition & desire; brand loyalty)
 - Industry-wide distribution across all major channels (i.e. the product or brand is an essential item to be stocked by retailers)
 - Consistent promotional support – often dominated by advertising, sponsorship etc
- Great examples of a differentiation leadership include global brands like Nike and Mercedes. These brands achieve significant economies of scale, but they do not rely on a cost leadership strategy to compete. Their business and brands are built on persuading customers to become brand loyal and paying a premium for their products.

Or

❏ **Strategies for competitive advantage-differentiation, cost leadership, focus, linkage information leadership**

- ✓ Computerized information systems can assist and improve strategic management in organizations. Information systems can be used strategically to support the strategic planning process and provide competitive advantage.
- ✓ In the first case, a strategic decision support system addresses strategic problems, directly support strategic decision making, recognizes the lack of structure in strategic decisions and has the characteristics of a decision support system.
- ✓ For example some organizations use strategic decision support systems as tools that collate and analyze information to assist their strategic planning.
- ✓ In the second case, information systems act as a resource similar to capital and labor in determining strategic plans. Information systems can change a business's or an industry's products and services, markets and economics of production.
- ✓ For example airlines used their information systems as a resource in implementing their strategy of increasing market share by obtaining a greater percentage of ticket sales from ticket agents and quickly revising prices to respond to price changes by competitors.

Firms can adopt five strategies to reap a competitive advantage: differentiation, cost leadership, focus, linkage and information leadership information systems can provide the information required to support one of these strategies

1) Differentiation

A differentiation strategy seeks to distinguish the products and services of a business unit from those of its competitors through unique design, features, quality or other characteristics and thereby enable the business to charge a premium for its product or service. Companies pursuing a differentiation strategy need current and accurate information about the market, including detailed information about competitors' products, customers' requirements and changing environmental conditions.

2) Cost leadership

Cost leadership strategy seeks to achieve competitive advantage by allowing the business unit to make more profit than its competitors when selling to customers at the same price. Complete information about cost makes costs easier to control and creates a competitive advantage. The company requires quality internal information to reduce costs by achieving efficiencies in production, distribution and sales. Even hospitals can use information technology to reduce cost by eliminating paperwork and improving services. Bedside terminals can store patient records, electronic conferencing can bring the expertise of a team of physicians in remote locations to a single problem, home health terminals allow patients to consult with doctors online and diagnostic systems can support physicians' diagnoses, identify preferred treatments and specify their cost benefits.

3) Focus

A focus strategy achieves competitive advantage by concentrating on a single market segment. Companies following the focus strategy concentrate their resources to become big players in small market rather than small players in larger markets. They require information about the nature of available markets and the characteristics of the players in them.

4) Linkage

A linkage strategy obtains a competitive advantage by establishing special, exclusive relationships with customers, suppliers and even competitors. Organizations require detailed information about customers' needs, special arrangements with suppliers and potential synergies with competitors.

5) Information Leadership

- ✓ An information leadership strategy increases the value of a product or service by infusing it with expertise and information. Managers can also supplement products with summary and activity reports of an account or customer, product and market information relevant to the customer or information about related products and services.
- ✓ Information ailing refers to this strategy of using information-based enhancements to revitalize mature businesses by enabling them to create or sell information as a core product. For example, airlines can electronically track baggage in airports in ways that can correct problems before customers discover they have missing baggage.
- ✓ Other examples of information ailing include producing "smarter" cars and allowing customers to design desired features on computers in dealers' showrooms."
- ✓ Strategic management also addresses how functions such as finance, marketing, research and development, operations and human resource management can best support the organization's strategies.
- ✓ Functional strategies direct the way individual departments perform their tasks to accomplish organizational objectives.
- ✓ Marketing strategies focus on product development, promotion, sales and pricing. Finance strategies focus on the acquisition allocation and management of capital. Operations strategies include decisions about plant size, plant location, equipment, inventory and wages.
- ✓ Research and development strategies emphasize basic applied or developmental research. Human resource strategies revolve around the deployment of employees and the relations between labor and management.

International Strategy

- What is international strategy? "An international strategy is a strategy through which the firm sells its goods or services outside its domestic market". One of the primary reasons for implementing an international strategy (as opposed to a strategy focused on the domestic market) is that international markets yield potential new opportunities.
- Firms can derive four basic benefits from using international strategies:
 1. Increased market size; e.g. Pepsi-Coca-cola
 2. Greater returns on major capital investments or on investments in new products and processes; e.g. R&D Plant, Capital
 3. Greater economies of scale, scope, or learning; e.g. Firm can be standardize product across in company.

4. A competitive advantage through location (for example, access to low-cost labor, critical resources, or customers)"

- Global Strategy' is a shortened term that covers three areas: *global, multinational and international strategies*. Essentially, these three areas refer to those strategies designed to enable an organization to achieve its objective of international expansion.
- In developing 'global strategy', it is useful to distinguish between three forms of international expansion that arise from a company's resources, capabilities and current international position. If the company is still mainly focused on its home markets, then its strategies outside its home markets can be seen as **international**.
- For example, a dairy company might sell some of its excess milk and cheese supplies outside its home country. But its main strategic focus is still directed to the home market.
- In South Korea, international and global soft drinks strategy will involve mixing both the global brands like *Coke* and *Sprite* with the local brands like *Pocara* Sweat (and, no, I don't know what the brand tastes like!)
- However, the Apple iPod was essentially following the same strategy everywhere in the world: in this case, the advertising billboard was in North America but it could have been anywhere.
- One of the basic decisions in global strategy begins by considering just how much local variation, if any, there might be for a brand.
- Another more basic decision might be whether to undertake any branding at all. Branding is expensive. It might be better to manufacture products for other companies that then undertake the expensive branding. Apple iPods are made in China with the Chinese company manufacturing to the Apple specification. The Chinese company then avoids the expense of building a brand. But faces the strategic problem that Apple could fail to renew its contract with the Chinese company, which might then be in serious financial difficulty.
- As international activities have expanded at a company, it may have entered a number of different markets, each of which needs a strategy adapted to each market. Together, these strategies form a multinational strategy. For example, a car company might have one strategy for the USA - specialist cars, higher prices - with another for European markets - smaller cars, fuel efficient - and yet another for developing countries - simple, low priced cars.
- For some companies, their international activities have developed to such an extent that they essentially treat the world as one market with very limited variations for each country or world region. This is called a global strategy. For example, the luxury goods company Gucci sells essentially the same products in every country.
- Importantly, global strategy on this website is shorthand for all three strategies above. Implications of the three definitions within global strategy:
 1. **International strategy:** the organization's objectives relate primarily to the home market. However, we have some objectives with regard to overseas activity and therefore need an international strategy. Importantly, the competitive advantage - important in strategy development - is developed mainly for the *home* market.
 2. **Multinational strategy:** the organization is involved in a number of markets beyond its home country. But it needs distinctive strategies for each of these markets because customer demand and, perhaps competition, are different in each country. Importantly, competitive advantage is determined *separately for each country*.
 3. **Global strategy:** the organization treats the world as largely one market and one source of supply with little local variation. Importantly, competitive advantage is developed largely on a global basis.

Strategies for entering International Markets:



Choice of International Entry Mode:

1. Exporting

2. Licensing

3. Strategic Alliances

4. Franchising

1. Exporting:

- Common way to enter new international markets
- No need to establish operations in other nations.
- Establish distribution channels through contractual relationships.
- May have high transportation costs.
- May encounter high import tariffs.
- May have less control on marketing and distribution.
- Difficult to customize product.

2. Licensing:

Firm authorizes another firm to manufacture & sell its products

- Licensing firm is paid a royalty on each unit produced and sold.
- Licensee takes risks in manufacturing investments.
- Least risky way to enter a foreign market.
- Licensing firm loses control over product quality & distribution.
- Relatively low profit potential.

3. Strategic Alliances:

- Enable firms to share risks and resources to expand into international ventures
- Most joint ventures (JVs) involve a foreign corp. with a new product or technology & a host company with access to distribution or knowledge of local customs, norms or politics.
- May experience difficulties in merging disparate cultures.
- May not understand the strategic intent of partners or experience divergent goals.

4. Franchising:

- Often is better suited to global expansion efforts of service and retailing enterprises
- Advantages
- Franchisee bears most of costs and risks of establishing foreign locations
- Franchisor has to expend only the resources to recruit, train, and support franchisees
- Disadvantage
- Maintaining cross-country quality control